

Customer Behavior Analysis Report

Prepared for: Alfido Tech

Introduction

This report analyzes customer transaction data to understand purchasing behavior, segment customers using RFM (Recency, Frequency, Monetary) analysis, and evaluate churn risk. The objective is to identify revenue-driving segments and provide actionable strategies to improve customer retention and engagement.

Customer Segmentation

Customers were segmented based on:

- **Recency** – Days since last purchase
- **Frequency** – Number of purchases
- **Monetary** – Total spending

Using RFM analysis, customers were categorized into:

- Champions
- Loyal Customers
- Regular Customers
- At Risk Customers
- Lost Customers

Key Findings

1. Champions generate the highest revenue, indicating strong engagement and high customer lifetime value.
2. Loyal customers show stable purchasing behavior, contributing consistently to overall revenue.
3. A significant portion of customers fall under At Risk and Lost categories, indicating potential revenue loss if no action is taken.
4. Revenue distribution is highly concentrated among top-performing segments.

Recommendations

1. **Implement targeted retention campaigns** for At Risk customers using personalized offers and reminders.
2. **Introduce a loyalty rewards program** to strengthen relationships with Champions and Loyal customers.
3. **Develop win-back strategies** to re-engage Lost customers through special incentives.
4. **Use upselling and cross-selling strategies** to increase average spending among high-value segments.
5. **Establish a churn monitoring system** to proactively track and reduce customer attrition.

Conclusion

RFM-based segmentation provides valuable insights into customer behavior and revenue contribution. By applying data-driven retention and engagement strategies, Alfido Tech can improve customer loyalty, reduce churn, and enhance long-term profitability.